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Memorandum

TO: Dr. Rich Machesky

FROM: Rick West, Assistant Superintendent,
Business Services



RE: 2022-2023 Millage Rates

DATE: June 10, 2022

Taxable valuation amounts have been received from the Oakland County Equalization Department. Overall, the District's taxable valuation on all property has increased by \$298,030,680 or 6.88% from the previous year. The increase in taxable valuation occurred in both the homestead property and the non-homestead property. Taxable valuation amounts are important to the District as the hold-harmless, local non-homestead, sinking fund, and debt retirement revenue are all dependent upon taxable valuations. The following is a summary of the proposed millage rates for 2022-23:

Hold-Harmless Millage Rate

In order to receive our entire per pupil foundation allowance, a hold-harmless millage is levied. In our case, we are authorized to levy a millage that will generate \$786 per student. This is \$248.18 less than the \$1,034.18 per student we were authorized to levy prior to the re-establishment of 20j/m which shifted the revenue obligation from the local taxpayers to the state. This millage is only levied on homestead property in the District. **The proposed hold-harmless millage rate for 2022-23 is 3.0693 mills.** This amount is a decrease of .3185 mills from the current year millage rate of 3.3878. The decrease is a result of rising taxable values and lower assumed student enrollment.

Non-Homestead Millage Rate

All districts in the State have authority to levy 18.0000 mills, with voter approval, on all non-homestead properties. The best example of non-homestead properties is the commercial and industrial real properties within the District. Homeowners do not pay this tax on their principal residence. The tax revenue from this levy is a significant part of the per pupil foundation allowance that we are able to generate. **The proposed non-homestead millage rate for 2022-23 is 18.00 mills.**

Commercial Personal Property Millage Rate

Beginning in 2008-09, Commercial Personal Property is classified as homestead property for Headlee rollback calculation purposes and receives an exemption from the first 12 mills of non-homestead operating millage. This 12-mill exemption is reduced by the hold-harmless millage levied by the District. As a result, **a separate millage rate of 9.0693 (18-12+3.0693) will be levied on Commercial Personal Property in 2022-23.** This is a reduction from the 9.3878 mills that were levied in 21-22.

Industrial Personal Property Millage Rate

Beginning in 2008-09, Industrial Personal Property is classified as homestead property and receives an exemption from the entire 18 mills of non-homestead operating millage. This 18-mill exemption is reduced by the hold-harmless millage levied by the District. As a result, **a millage rate of 3.0693 will be levied on Industrial Personal Property in 2022-23.** This rate is identical to the hold-harmless millage rate levied on homeowners and represents a reduction from the 3.3878 mills levied in 21-22.

Debt Retirement Millage Rate

The Debt Retirement Fund is used to account for the accumulation and use of assets for the payment of principal and interest on general long-term debt. The primary source of revenue in this fund is generated through property taxes by levying a debt retirement millage rate. **The proposed millage rate for 2022-23 will be 4.1000 mills** and represents no change from the current year levy of 4.1000 mills. The millage is necessary to pay the principal and interest on the bonded debt maturing in 2022-23. The revenue generated through this millage rate along with the fund balance in the debt retirement fund will be sufficient to meet our debt obligation for the 2022-23 fiscal year.

Sinking Fund Millage Rate

The Sinking Fund is used to account for the resources and expenditures associated with the community's approval of the building and site sinking fund millage in November 2017. The funds are to be used to make infrastructure improvements and repairs to the school district's facilities. The primary source of revenue in this fund is generated through property taxes by levying a building and site sinking fund millage rate. **The proposed millage rate for 2022-23 will be .9651 mills**, and represent a .0129 decrease from the current year levy of .9780 mills. This reduction is due to the millage reduction factor required by the headllee amendment which caps the increase in taxable values at the rate of inflation. The estimated sinking revenue for the 2022-23 school year is \$4,442,000.

Millage certification by the Board of Education will occur at the June 21, 2022 Board of Education Meeting.

Please find attached the L-4029.